

#FAIL #WHALE

Popular web site Twitter crashed and was down for about an hour and a half displaying a funny cartoon nicknamed fail whale

Cell-phone banking

Soon all you would need to send money to someone would be their mobile number

REPORT

loss and contests the charge on the bill. On MasterCard's India Learning Center web site it is stated that "As a MasterCard cardholder in India, most card issuers will not hold you responsible for unauthorised purchases charged to your account, after the card issuer is notified of any loss, theft or disclosure relating to your card. If you discover any loss or theft, or suspect unauthorised activity on your account, stop using your card and contact the issuer immediately."

There are legal issues here too. Apart from the extent of punishment a fraudster receives it is important to know whether the merchant establishments are required to verify or cross cheque the signature. We asked Karnika Seth, Attorney at law, and Chairperson of the Cyber Laws Consulting Center what the situation is from a legal standpoint. "As far as the imposter or person who impersonates the rightful holder of the card is concerned, he could be charged under Section 416 of the IPC and liable to punishment under Section 417 with imprisonment for a term of 1 year or fine or both. The actual holder of the card may also be guilty of contributory negligence if he had negligently kept the credit card which was then misused by the accused. As regards the merchant, he may not have an explicit obligation to check and verify the identity of the card holder unless specified in the contract with the card issuer. But under Torte law there is a duty of care. An hence it is in their own interest to check as if there is a credit card fraud, the merchant loses the goods or services sold, the payment, the fees for processing the payment, any currency conversion commissions, and the amount of the chargeback penalty. Usually, a

CREDIT CARD INSURANCE

Some credit card companies provide insurance at very low premium rates. We spoke to customer support executives of a few banks. The HDFC Bank executive said they have recently stopped all such theft insurance services and that we could get any relevant information we need from the bank's web site. According to the web site, by informing the 24-hour customer care, any fraudulent transaction is borne by the bank. When we spoke to Citibank, we were informed that they do have a theft insurance program, but that it is a relatively new service. They haven't received any reports of theft or loss arising after starting this service. Also, they advise the consumer to inform them of the loss and get the card blocked. Simultaneously, they conduct an internal investigation on their own and stay in touch with the relevant authorities.

credit card company will not be liable in a such a scenario unless it acts negligently by not blocking the card when once an immediate notification of card being lost is made to the Bank. The banks generally bear the 'zero liability' on lost card clause" she said.

On Master Card's Indian web site it is clearly mentioned that "retailers must follow specific data security requirements in order to accept MasterCard cards. MasterCard Worldwide rules and recommendations apply to all transactions – whether they occur in a store, online, or over the phone." Under the card fraud checklist there is specific mention of comparing signatures. "The back of the card must be signed, and the signature should reasonably compare to the cardholder signature on the sales receipt. Check to make sure that it has not been taped over, mutilated, erased or altered in any suspicious manner. The word "Void" on the signature panel indicates that the signature panel has been tampered with."

There is also the possibility of asking for photo identity for transactions. It is worth noting that at one of the establishments we noticed a board stating that a photo identification will be required for purchases above Rs. 7,500. We wonder if this will work since here customers might get anywhere from offended, annoyed and even embarrassed if they're asked for identification.

What about those little slips that you sign? How do they fit into the whole process? Are they ever checked? In fact we decided to go ahead and try this out

and the picture says a lot doesn't it? We signed "Mc Donalds Rocks" at a Kentucky Fried Chicken (KFC) outlet. The person behind the counter looked at the signature and still continued with the transaction.

We began to wonder if this problem is unique to India. Turns out the situation is no better in the US either. We came across a hilarious blog (zug.com) in which a frustrated customer by the name of John Hargrave, went to great lengths to answer the question "How crazy would I have to make my signature before someone would actually notice?"

He then goes on to narrate a rib tickling tale complete with pictures, of how he put down signatures ranging from mindless doodles to elaborate grids, musical notes and in one case hieroglyphics depicting a snake, birds and mountains, in an effort to elicit some sort of reaction. Not once was he questioned. Not once did he hear from his card issuers.



For the signature it says "Mc Donalds Rocks" on a KFC charge slip

From our own experience too we are beginning to wonder if the entire signature process is a useless mechanism designed to make you just feel safe, like security checks at malls. Perhaps the safety measures in the online world are actually better. We've written to each of the retail chains we made purchases from to understand this issue further. We're yet to get a reply. **d**

CRACK THE CODE

On the cover, find the name of the building that has the hacker on the roof. Enter that name and the Digit page number you came from (to get to this clue) in the following manner: thinkdigit.com/d/<name_page number> to get your next clue.

SECURITY TIPS

Security tips from the American Federal Trade Commission to avoid card frauds

- Sign your cards as soon as they arrive
- Keep an eye on your card during the transaction, and get it back as quickly as possible
- Save receipts to compare with billing statements
- Notify card companies in advance of a change in address
- Report any questionable charges promptly and in writing to the card issuer